AI FINANCING: THE HIDDEN LOOP

When suppliers also invest in and backstop the customers buying their products.

THE RESEARCH VERDICT
Links confirmed.
Systemic crisis not proven.

55.2%
INCOMING DEAL VALUE
of disclosed funding value in rounds with AI investors.
NOT a cash-contribution share.

16.1%
AI-TO-AI DEAL COUNT
of AI-to-AI deals also involved a supplier/customer relationship.
2021–2025 sample.

46.4%
AI-TO-AI DEAL VALUE
of AI-to-AI disclosed deal value associated with the same overlap.
Full financing rounds are counted.

HOW CIRCULAR FINANCING WORKS

The same two firms can exchange both capital and business.

SUPPLIER / INVESTOR
chips, cloud, equipment

FUNDS / BACKSTOPS →
← BUYS PRODUCTS

CUSTOMER / OPERATOR
builds and uses capacity

ONE CUSTOMER SHOCK, MULTIPLE LOSSES
Sales fall + investment value declines + backstop may be called.

SELECTED DISCLOSED BACKSTOPS

Maximum exposures or notionals, not realised losses.

ALPHABET / GOOGL	**US$48.012bn**
Credit-derivative notional | liability US$0.606bn	
BROADCOM / AVGO	**~US$43bn**
Maximum after deployment; less asset recoveries	
NVIDIA / NVDA	**US$105bn**
Cumulative cap; phased, first expected FY2029	

Contract terms, triggers and dates differ by issuer.

CLAIM CHECK / WHAT THE FIGURES DO NOT PROVE

- **55% from AI firms?** BIS measures full disclosed deal values, not each investor's paid amount.
- **4x CDS surge?** Trading activity is not a fourfold rise in default probability.
- **Another 2008?** Telecom vendor financing is a closer analogue; funding structures differ.

INVESTOR WATCHLIST

1. Independent customer revenue and cash generation
2. Guarantee triggers, maximums and recoveries
3. Debt maturities, refinancing and collateral terms
4. Correlated holdings, financing and currency risk

BOTTOM LINE **AI may succeed while some financing structures disappoint.**
Watch who ultimately pays for demand, not just who records the sale.

PRIMARY SOURCES BIS BULLETIN 137 ALPHABET 10-Q BROADCOM 8-K NVIDIA 10-Q